BNP PARIBAS SA — ANALYST NOTE

Three-Year Financial Performance Narrative | FY2022–FY2024

***Analyst Note** | Prepared by Joy Lorna*

EXECUTIVE SUMMARY

BNP Paribas delivered resilient revenue through a volatile European rate cycle, improved operating efficiency materially in FY2024, and maintained capital and liquidity above regulatory minima. Net income increased from €10,196M in FY2022 to €11,688M in FY2024, a 7.1% two-year CAGR, while Net Banking Income rose from €45,430M to €48,831M.

- **FY2022:** the ECB exited negative rates in July. BNP entered the hiking cycle with NII of €20,933M, a 65.7% cost-to-income ratio, CET1 of 12.33%, and cost of risk of 31bps.
- **FY2023:** the deposit facility peaked at 4.0%. NII declined 9.0% to €19,058M, operating expenses rose 3.7%, and CIR deteriorated to 67.5%; however, trading income and non-interest revenue streams supported net income growth to €10,975M. CET1 strengthened to 13.20%.
- **FY2024:** the ECB began cutting rates. NBI accelerated 6.4% to €48,831M, expenses fell 2.5%, provisions fell 13.1%, and net income reached €11,688M. CIR improved to 61.8%, despite NIM compressing to 1.77%.

IFRS 17 transition and comparability. BNP Paribas adopted IFRS 17 *Insurance Contracts* on 1 January 2023, replacing IFRS 4, while its insurance entities also began applying IFRS 9. The transition date was 1 January 2022 and BNP restated 2022 insurance-related balance-sheet and income comparatives as if the standards had applied from that date. This note deliberately retains the originally reported FY2022 figures because using selected restated values across the three statements created reconciliation inconsistencies. Accordingly, FY2022-to-FY2023/24 movements should be read as directional rather than fully like-for-like where insurance-related lines are material; a strict bridge would require replacing all affected FY2022 statement values with the complete restated set.

A detailed reconciliation of the reported and restated figures is provided in the accompanying workbook.

PROFITABILITY ANALYSIS

Net Banking Income and Revenue Mix

NBI increased only 1.0% in FY2023 before rising 6.4% in FY2024. The mix shifted materially: NII fell from €20,933M in FY2022 to €19,058M in FY2023, then recovered 2.4% to €19,524M in FY2024. Fee and commission income recovered 9.0% to €10,701M in FY2024, while trading income grew in both years to €11,569M. The revenue mix became more diversified, reducing the relative contribution of net interest income to overall revenue generation.

Returns

ROE improved from 8.53% to 9.28%, ROTE from 9.22% to 10.07%, ROA from 0.38% to 0.44%, and EPS from €7.52 to €9.57. The direction is positive; sector comparisons in the accompanying workbook are presented as analytical reference points rather than BNP-specific performance requirements.

Efficiency

CIR moved from 65.74% in FY2022 to 67.48% in FY2023, then improved sharply to 61.83% in FY2024, below the workbook's 66% internal analytical comparison. Positive operating leverage of 8.91 percentage points in FY2024 reflected 6.45% NBI growth alongside a 2.46% decline in operating expenses. Sustaining positive jaws as NIM normalises is the central execution test.

CAPITAL ADEQUACY

CET1, Leverage and RWA

CET1 rose from 12.33% in FY2022 to 13.20% in FY2023, then moderated to 12.87% in FY2024. The reported CET1 ratio remained strong; this project uses regulatory and sector reference levels for analytical comparison only and does not assert a BNP-specific SREP threshold. Tier 1 stood at 14.93%, total capital at 17.13%, and leverage at 4.62%; the latter ratios remained above the stated regulatory comparison levels in the workbook.

The FY2024 moderation in headline capital ratios was driven by RWA growth to €762,247M from €703,694M, not by weak capital generation. CET1 capital rose to €98,128M and total capital to €130,581M. Capital return was also substantial: the cash-flow proxy for shareholder distributions reached €8,756M, or 74.9% of net income.

LIQUIDITY POSITION

LCR remained above the 100% minimum in all three years: 129%, 148%, and 137%. NSFR was likewise compliant at 115.05%, 115.92%, and 111.75%. The loan-to-deposit ratio held below 87%, indicating that customer lending remained primarily deposit-funded.

The principal liquidity watchpoint is the decline in HQLA from €454,812M to €380,615M. This does not indicate an immediate weakness because regulatory ratios remain above minimums, but it reduces the absolute liquidity cushion and should be assessed alongside deposit behaviour and market-funding conditions.

ASSET QUALITY

The NPL ratio was stable at 1.7% in FY2022 and FY2023 and improved to 1.6% in FY2024, below recent European banking-sector averages used for analytical comparison in the workbook. Stage 1 ECL declined to €1,785M and Stage 2 ECL to €1,939M, while total financial-asset impairment fell to €17,181M.

Cost of risk increased modestly from 31bps to 33bps over the period and remained below recent European banking-sector averages used for analytical comparison in the workbook. The euro charge peaked at €3,682M in FY2023 and normalised to €3,201M in FY2024. Coverage declined from 72.5% to 69.7%, however, reducing protection if macroeconomic conditions weaken. The combination of lower NPLs and early-stage ECL is constructive, but the coverage trend warrants continued monitoring.

IFRS 9 interpretation

Under IFRS 9, Stage 1 captures 12-month expected credit losses, Stage 2 lifetime losses following significant credit deterioration, and Stage 3 credit-impaired exposures. The decline in Stage 1 and Stage 2 balances suggests improving migration dynamics; the broadly stable Stage 3 allowance indicates that currently impaired exposures still require close attention.

STRATEGIC OUTLOOK — FY2025+

Revenue and margin

A reasonable analytical scenario is slower earnings growth as lower policy rates continue to pressure NIM. BNP's FY2024 evidence is nevertheless encouraging: fees, trading income, lower costs, and lower provisions offset margin pressure. Future earnings quality will depend on maintaining this diversified contribution rather than relying on NII alone.

Efficiency and capital

The FY2024 efficiency improvement provides a constructive starting point, but wage inflation, compliance expenditure, and technology investment remain structural cost pressures. Reported capital ratios indicate capacity for organic growth and distributions, although RWA inflation under business growth and CRR3 implementation could absorb part of that flexibility.

Scenario framing

- **Upside:** stronger client activity, sustained fee and trading growth, positive operating leverage, stable credit migration, and disciplined RWA growth.
- **Downside:** faster NIM compression, renewed cost inflation, Stage 2 or Stage 3 migration, further coverage erosion, or lower absolute liquidity buffers.
- **Overall view:** stable-to-positive, with sound solvency and liquidity but a greater premium on revenue diversification and execution.

Luxembourg regulatory vocabulary — applied

- **ECB SSM:** BNP is a Significant Institution under direct ECB prudential supervision.

SREP: the annual supervisory process establishes institution-specific capital requirements and guidance. CET1 headroom is therefore a relevant analytical credit metric, but this note does not assert BNP Paribas' current bank-specific SREP requirement.

- **CRD VI / CRR3:** Basel III finalisation may affect RWA density and capital planning, including through the output floor.
- **IFRS 9:** the three-stage ECL framework underpins the credit analysis in this note.
- **SFDR and EU Taxonomy:** material to BNP's asset-management activities and to Luxembourg-domiciled UCITS and AIF operating environments.
- **MREL / TLAC:** central to BNP's G-SIB resolution capacity and relevant for counterparty-risk assessment.

CONCLUSION

BNP Paribas exited FY2024 with stronger earnings, a marked efficiency recovery, capital ratios above the stated comparison levels, liquidity ratios above regulatory minima, and improving NPL performance. Net income rose 14.6% from FY2022, CIR fell to 61.8%, CET1 closed at 12.87%, LCR at 137%, NSFR at 111.75%, and NPLs at 1.6%.

The balanced assessment is positive but not without watchpoints: NIM fell to 1.77%, HQLA declined, coverage reduced to 69.7%, and RWA rose sharply in FY2024. For banking, credit-risk, and fund-administration professionals, the key monitoring dashboard is therefore NIM, fee and trading contribution, CIR, NPL coverage, RWA growth, CET1 headroom, LCR/NSFR, and HQLA.

METHODOLOGY

Scope: BNP Paribas SA Group consolidated IFRS financial statements for FY2022–FY2024; this is not a standalone analysis of BGL BNP Paribas SA. Amounts are in EUR millions unless stated otherwise. **Approach:** Historical financial-statement, ratio, variance, and control analysis. **Exclusions:** No forecasting, valuation, stress-test model, or investment recommendation. FY2022 remains on the originally reported basis; IFRS 17/9 comparability limits and the source-verified FY2023–FY2024 cash-flow closing differences are documented in the workbook.

DATA SOURCES

Primary source documents consisted of BNP Paribas Group Annual Reports, Universal Registration Documents, consolidated financial statements, annual-results releases and slides, Pillar 3 disclosures, and supplementary regulatory disclosures covering FY2022–FY2024. Sector comparisons in the workbook draw on ECB Supervisory Banking Statistics and the EBA Risk Dashboard where explicitly identified. Metric-level references, extraction controls, and the reported-versus-restated reconciliation are documented in the accompanying workbook.

KEY DEFINITIONS

NBI — Net banking income; **NII** — Net interest income; **CET1** — Common Equity Tier 1; **RWA** — Risk-weighted assets; **HQLA** — High-quality liquid assets; **LCR** — Liquidity Coverage Ratio; **NSFR** — Net Stable Funding Ratio.

NPL — Non-performing loan; **ECL** — Expected credit loss; **CRR3** — Capital Requirements Regulation III; **SSM** — Single Supervisory Mechanism; **TLAC** — Total Loss-Absorbing Capacity; **MREL** — Minimum Requirement for Own Funds and Eligible Liabilities.